

**Judgment Sheet**  
**IN THE LAHORE HIGH COURT AT LAHORE.**  
**JUDICIAL DEPARTMENT**

**W.P. No. 39097 of 2023**

M/s. The Coca Cola Export Corporation-Pakistan Branch

**Versus**

Deputy Commissioner Inland Revenue etc.

**JUDGMENT**

|                  |                                                         |
|------------------|---------------------------------------------------------|
| Date of Hearing: | 17.04.2025                                              |
| Petitioner by:   | M/s. Muhammad Shoaib Rashid and Minahil Khan, Advocates |
| Respondents by:  | Mr. Shahjahan Khan, Advocate                            |

**KHALID ISHAQ, J.** Through this constitutional petition filed under Article 199 of the Constitution of Islamic Republic of Pakistan (**Constitution**), the petitioner has brought a challenge to the order dated 09.02.2023 (**Impugned Order**) passed under section 74 of the Sales Tax Act, 1990 (**Act, 1990**) read with section 43(2) of the Federal Excise Act, 2005 (**Act, 2005**). A collateral challenge is also laid to show cause notices bearing No.LTO/ST/U-3/R-II/23/8809 & No.LTO/ST/U-3/R-II/23/8808, both issued on 23.05.2023 (the “**Show Cause Notices**”) on the premise that since Show Cause Notices are a direct and inseparable offshoot of the Impugned Order, therefore, the same cannot sustain if the Impugned Order falls to the ground due to inherent and palpable defect of jurisdiction.

**2.** Learned counsel for the petitioner while laying confrontal attack to the vires of the Impugned Order has argued that the Impugned Order is not sustainable on any standards of Principles of Administration of Justice as the same is without any reasons, basis or rationale, has been issued without an opportunity of hearing to the petitioner, is bad in law as it violates the fundamental rights of the petitioner. Submits that the Impugned Order cannot withstand the test of a lawful order in terms of Article 4 read with Article 10-A of the Constitution. While explicating the facts which necessitated the filing of this petition, learned counsel for the petitioner

submits that the petitioner filed its statutory returns for the tax period pertaining to January, 2016 to December, 2016 and January, 2017 to December, 2017 (**Relevant Tax Years**)<sup>1</sup>. Submits that section 11(5) of the Act, 1990 and section 14(1) of the Act, 2005 prescribe the statutory period of five years from the relevant date of filing of the returns within which an action against alleged evasion, non-payment, short payment etc. of the tax may be initiated against the taxpayer; adds that considering these statutory timelines in the normal parlance, the limitation period for initiation of any action against the petitioner qua the returns filed for the tax year 2016 was 31.12.2021 and for the tax year 2017, the same was 31.12.2022. Argues that the Impugned Order was abruptly served upon the petitioner, which was followed by Show Cause Notices. Learned counsel for the petitioner while placing reliance upon *Federal board of Revenue through its Chairman, Islamabad and others v. Abdul Ghani and another* (PTCL 2021 CL 254), *M/s. Mehr Dastgir Leather and Footwear Industries (Pvt.) Limited v. Federation of Pakistan through Secretary, Ministry of Finance & others* (2025 PTD 16) & *Abdul Ghani v. Federation of Pakistan and others* (PTCL 2021 CL 240) submits that without prejudice to the foregoing submissions qua the vires of the Impugned Order, an order passed by the respondents cannot impede the statutory timelines supplied in a statute. While referring to a recent amendment brought about in section 74 of the Act, 1990, the learned counsel submits that this amendment cannot take away the vested rights of the petitioner nor it can infringe upon a past and closed transaction; adds that even otherwise, the amendment brought about by virtue of the Finance Act, 2022 cannot affect the petitioner's right as 'no case was pending against the petitioner' when the Impugned Order was issued; specifically refers to the words "in any case or class of cases". Finally concludes that an order passed after lapse of limitation is an order without jurisdiction, which per learned counsel, is solely a good ground for filing this constitutional petition; adds that no remedy of appeal is available under section 74 of the Act, 1990.

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<sup>1</sup> The petitioner being afforded permission of this arrangement by the FBR as having special tax year status i.e. 1<sup>st</sup> January to 31<sup>st</sup> December, compared to normal tax year i.e. 1<sup>st</sup> July to 30<sup>th</sup> June.

3. On the other hand, learned counsel for the respondents submits that since the case of the petitioner is that of a tax fraud, therefore, no limitation runs against such a fraud as, per learned counsel, fraud vitiates the most solemn proceedings. Places reliance on M/s. Colony Industries (Pvt.) Ltd. v. Federation of Pakistan and others (2013 PTD 786) & M/s. Paramount Spinning Mills Ltd. v. Customs, Sales Tax and Central Excise Appellate Tribunal and another (2012 SCMR 1860). While attempting to address the argument as to absence of any reasons in the Impugned Order, learned counsel seeks refuge in the detailed account of investigation and contravention report from the Director General of Intelligence and Investigation, as incorporated in the Show Cause Notices. Submits that since remedy of appeal(s) will be available against the orders of adjudicating authority, if so passed against the petitioner in furtherance of the Show Cause Notices, therefore, the petition in hand is not maintainable. In order to mete out the point of condonation of delay as couched in the Impugned Order, learned counsel for the respondents has placed reliance upon the amendment of section 74 of the Act, 1990 brought about through the Finance Act, 2022 (XIII of 2022) (assented on; 20<sup>th</sup> June, 2022). Placed reliance upon Syed Muhammad Murtaza Zaidi v. Motor Registration Authority and others (2010 PTD 1797) to argue that the amendment has been given retrospective effect, which is the prerogative of the legislature, therefore, the condonation accorded vide Impugned Order is not questionable due to lapse of five years period in terms of the provisions relied upon by the learned counsel for the petitioner.

4. Arguments heard. Record perused.

5. The submissions made by learned counsels for the parties and the available record would lead to following three questions, which are required to be determined by this Court for deciding the petition in hand:-

a. *Whether this Constitutional Petition is maintainable?*

b. *Whether the Impugned Order is sustainable on its own merits?*

- c. *Whether the amendment brought through Finance Act, 2022, despite being retrospective in nature, can affect the rights of the petitioner?*

### **QUESTION OF MAINTAINABILITY**

6. Since the question of jurisdiction is germane to all proceedings and has to be decided ahead of all other questions, therefore, the same is decided at the outset. Section 74 of the Act, 1990, as it existed on the date of the issuance of the Impugned order and the Show Cause Notices is reproduced herein below:

*[74. Condonation of time-limit.— Where any time or period has been specified under any of the provisions of the Act or rules made there under within which any application is to be made or any act or thing is to be done, the [Board] may, in any case or class of cases, permit such application to be made or such act or thing to be done within such time or period as it may consider appropriate [:]]*

*Provided that the Board may, by notification in the official Gazette, and subject to such limitations or conditions as may be specified therein, empower any [Commissioner] to exercise the powers under this section in any case or class of cases.*

*Explanation. – For the purpose of this section, the expression “any act or thing is to be done” includes any act or thing to be done by the registered person or by the authorities specified in section 30 of this Act.]*

7. Now it has to be seen at the outset as to whether an order passed under section 74 *ibid*, irrespective of the amendments brought about through Finance Act, 2022, is appealable or not? A bare perusal of sections 45-B & 46 of the Act, 1990, which are the provisions conferring right of appeal, clearly spell out that an appeal under section 45-B read with section 46 of the Act, 1990 is only available against orders passed under sections 10, 11, 25, 36 or 66 of the Act, 1990. Section 74 under which the Impugned Order has been passed, is not an appealable order, therefore, the only remedy available with the petitioner, particularly in the wake of the fact that Impugned Order has allegedly been issued without notice or an opportunity of hearing, is by way of filing a Constitutional Petition as the petitioner cannot be left remediless. As will be expounded in the later part of this

judgment, non-issuance of a notice, lack of opportunity of hearing and an order passed without supplying reasons are itself sufficient grounds for entertaining the petition while exercising the jurisdiction of judicial review under Article 199 of the Constitution. This Court is not impressed by the argument that since the appeal(s), if required to be filed, will become available once proceeding on the basis of Show Cause Notices commence. Such submission tantamount to avoid inevitable consequences of an inchoate, arbitrary and fanciful order. The edifice of the Show Cause Notices solely hinges upon the vires of the Impugned Order. It is well settled by now that where a superstructure is built on illegal and void order(s), the same is meant to collapse if such an order is declared illegal and unlawful<sup>2</sup>.

### **THE EFFECT OF LACK OF OPPORTUNITY OF HEARING AND ABSENCE OF REASONS**

A perusal of above quoted section 74 of the Act, 1990 makes it abundantly clear that the condonation of delay for exposing a taxpayer to the rigors of process after the lapse of statutory period is not a routine and usual exercise; an order for condonation can only be issued in exceptional circumstances, which exceptional circumstances can only be supplemented by supplying reasons and the reasons must ooze out from such orders. It cannot be the true import, intent and purpose of the law that the matter of condonation may be left at the whims of an officer of the Inland Revenue. In Messrs Mehr Dastgir Leather and Footwear Industries (Pvt.) Limited v. Federation of Pakistan through Secretary Ministry of Finance and others(2025 PTD 16), it was held:-

“5. Secondly, the very basis on which show-cause notices have been triggered is the exercise of power conferred under section 74 of the Act by FBR whereby time limit was condoned up to 29.08.2022 for finalization of assessment proceedings. .

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6. . . . . Quite clearly, this provision does not apply to an action being taken under section 11 (now repealed) which relates to assessment of tax and recovery

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<sup>2</sup> Yousaf Ali v. Muhammad Aslam Zia and 2 others (PLD 1958 SC 104); Mir Wali Khan and another v. Manager, Agricultural Development Bank of Pakistan, Muzaffargarh and another (PLD 2003 SC 500); Moulana Atta-ur-Rehman v. Al-Haji Sardar Umar Farooq and others (PLD 2008 SC 663); Vice Chancellor Agriculture University, Peshawar and others (2024 SCMR 527); Superintendent of Police, Headquarters, Lahore and others v. Ijaz Aslam and others (2024 SCMR 1831); Ghulam Mustafa Lund v. National Accountability Bureau through Chairman, Islamabad and others (PLD 2024 SC 54)

*of tax not levied or short levied or erroneously refunded. The action against the petitioner-company is being taken under section 11(2) and alleges that the petitioner-company has claimed are fund which is not admissible under the Act. From a reading of section 74 of the Act, it can be discerned that there have to be reasonable and rational grounds which should compel the Board to make an order in the nature of the one envisaged by section 74. It is not an automatic exercise of power or a request made by an officer of Inland Revenue. Reasonable cause has to be spelt out both in the application as well as in the permission granted on that application which is conspicuously missing in the order which has been reproduced above. It is not enough for FBR to simply condone the time limit and this must be supported by reasons and on the basis of documents which would show that there were circumstances beyond the control of officers of Inland Revenue at the relevant time which constrained them from taking action under the normal time limit.”*

7. *Learned counsel for the petitioner has relied upon a judgment of the Supreme Court of Pakistan reported as Federal Board of Revenue through Chairman, Islamabad and others v. Abdul Ghani and another (2021 SCMR 1154) and the following observations were made therein:-*

*"3. More importantly, the order passed under section 74 of the Act by the FBR fails to state any reason for extending the limitation period for issuance of a show-cause notice against the Respondent. The said requirement is meant to ensure fairness and transparency in the exercise of statutory discretion by the FBR which suffers from opacity and therefore unreasonableness. It is also noted that section 74 of the Act neither specifically envisages nor provides guidance, criteria or parameters for overriding any limitation period prescribed by the Act for initiating action against a taxpayer. Consequently, on the facts of the present case we are not inclined to interpret the said provision as authorizing the unchecked reversal of a statutory limitation period and consequential legal rights created by it. In the circumstances, the show cause notice issued by the petitioner department suffers from fatal defects that float on the face of the record. Accordingly we are not inclined to interfere with the impugned judgment."*

8. *The holding of the Supreme Court of Pakistan is clear and unequivocal and it has been held that no guidelines or parameters have been mentioned in section 74 of the Act and the least that FBR should do is to provide reasons for extending the limitation period. There cannot be unbridled reversal of statutory period of limitation as legal rights have come to accrue in the registered person.*

*On these grounds, show-cause notices were held to be ultra vires and were set aside. The facts of the present case are on all fours with the cited judgment and there are no reasonable grounds mentioned in the letter of condonation by FBR which would give power to the officer to issue a show-cause notice after almost 15 years. In the meantime, rights have come to vest in the petitioner-company which cannot be upset by issuance of show-cause notice. Further, the issuance of show-cause notice clearly smacks of mala fide as refund claim of the petitioner-company have been delayed and instead of doing so, petitioner-company has been served with a frivolous and vicious show-cause notice”*

8. The foregoing is without prejudice to the amended or un-amended state of section 74 of the Act, 1990 as the limitation is not merely a technicality; it has to be more robustly applied in the financial matters particularly in the taxation matters, enabling the taxpayer as well as the revenue hierarchy to have estimations of their respective financial outlook so that the available revenue, the expenditure required and the planning to be rolled out may be assessed with some degree of certainty. In Additional Commissioner Inland Revenue, Audit Range, Zone-I and others v. Messrs Eden Builders Limited and others" (2018 SCMR 991)<sup>3</sup>, the Supreme Court of Pakistan has held that:-

6. *From the ratio of the above judgment it can be seen that the law of limitation in so far as it regulates the period in which one party can avail a remedy against another is not to be lightly disturbed as the certainty created by limitation is necessary for the success of trade and business, the more so when that limitation governs tax matters.*

9. This Court is mindful of the fact that there should be no room to escape tax liability through official and institutional manipulation<sup>4</sup>, however, in such cases, the Federal Board of Revenue / Respondent Department has to lay the reasons at the outset, which are conspicuously missing in this case. It is axiomatic that no statute can muffle fundamental rights and must at all times advance the public interest and remain constitutional compliant<sup>5</sup>. The true import of statute of limitation, its significance and essence has

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<sup>3</sup> = 2018 PTD 1474 = PTCL 2018 CL. 661

<sup>4</sup> Commissioner Inland Revenue, Zone-II, Regional Tax Officer (RTO), Mayo Road, Rawalpindi and another v. Messra Sarwaq Traders, 216/1-A, Adamjee Road, Rawalpindi and another (2022 SCMR 1333)

<sup>5</sup> Commissioner Inland Revenue, Zone-III RTO, Rawalpindi and others v. Messra Sarwaq Traders, Rawalpindi and others (2025 SCMR 341)

conclusively been settled by the Supreme Court of Pakistan<sup>6</sup>. Considering various provisions of the Limitation Act, the Hon'ble Larger Bench of the Apex Court in *Khushi Muhammad's* case summed up the issues in the following terms:-

- (i) The law of limitation is a statute of repose, designed to quieten title and to bar stale and water-logged disputes and was to be strictly complied with. There is no scope in law of limitation for any equitable or ethical construction to get over them. Justice, equity and good conscience do not override the law of limitation;
- (ii) The hurdles of limitation cannot be crossed under the guise of any hardships or imagined inherent discretionary jurisdiction of the Court. Ignorance, negligence, mistake or hardship does not save limitation, nor does poverty of the parties;
- (iii) There is absolutely no room for the exercise of any imagined judicial discretion vis-a-vis interpretation of a provision, whatever hardship may result from following strictly the statutory provision. There is no scope for any equity. The Court cannot claim any special inherent equity jurisdiction;
- (iv) The law of limitation is an artificial mode conceived to terminate justiciable disputes. It is therefore to be construed strictly with a leaning to benefit the suitor;

**10.** If the competent authority is of the view and opinion that the case of the petitioner falls within the mischiefs, which require condonation of delay for opening a past and closed transaction, there should have been reasons to do so. Forming an opinion by a competent authority requires that such opinion be supplemented with reasons. The Respondents were bound to supply the reasons and petitioner was entitled to a reasoned order. Supplying reasons in an order or decision is not a choice, instead, it is incumbent upon the authority and an essential attribute of a sustainable order. The chain between the conclusion and fact in a decision is broken if there are no reasons. Term 'reasons' has not been defined in statutory law, but in common parlance or in terms of reasonable prudence, the presence of

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<sup>6</sup> *Khushi Muhammad through L.Rs. and others v. Mst. Fazal Bibi and others* (PLD 2016 Supreme Court 872)



reasons is what confirms whether an order or decision is lawful, reasonable and complies with the provisions of law and element of reasonableness. *The reason is very life of law, for when the reason of a law once ceases, the law itself generally ceases, because reason is the foundation of all our laws. (Wharton's Law Lexicon)*<sup>7</sup>. Order passed by an authority must contain reasons, enabling an affectee to challenge the same before appropriate forum but if such an order does not contain reasons, the availing of remedy was of no avail as there will be no grounds to test the vires of such an order, which is meant to collapse for its own liability.

11. It has been vehemently argued by the learned counsel for the petitioner that their rights have been infringed without affording an opportunity of hearing and without following the due process, which facts have not been duly controverted. Fairness, Due Process of Law and Natural Justice are important constitutional elements as grounds for judicial review of public actions. They fall to be dealt with under two provisions, one constitutional and the other statutory. The constitutional provisions are Article 4 and Article 10A of the Constitution which guarantee fair trial and due process of law. From the often-cited authorities in which the Courts have explained what fairness requires, *Lord Mustill* derived the following general principles<sup>8</sup>:-

*"(1) Where an Act of Parliament confers an administrative power there is presumption that it will be exercised in a manner which is fair in all the circumstances. (2) The standards of fairness are not immutable. They may change with the passage of time, both in the general and in their application to decisions of a particular type. (3) The principles of fairness are not to be applied by rote identically in every situation. What fairness demands is dependent on the context of the decision, and this is to be taken into account in all aspects. (4) An essential feature of the context is the statute which creates the discretion, as regards both its language and the shape of the legal and administrative system within which the decision is taken. (5) Fairness will very often require that a person who may be adversely affected by the decision will have an opportunity to make*

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<sup>7</sup> *P Ramanatha Aiyar's Advanced Law Lexicon (rth Edition) Published by LexisNexis Butterworths Wadhwa Nagpur*

<sup>8</sup> *Doody v. Secretary of State for Home Department* [(1993) 3 All ER 92, 106]

*representations on his own behalf either before the decision is taken with a view to producing a formal result, or after it is taken, with a view to procuring its modification, or both. (6) Since the person affected usually cannot make worthwhile representations without knowing what factors may weigh against his interests fairness will very often require that he is informed of the gist of the case which he has to answer."*

12. To give reasons is also mandated under section 24A of the General Clauses Act, 1897, which, for ready reference, is reproduced below:

*"24A. Exercise of power under enactments. – (1) Where, by or under any enactment, a power to make any order or give any direction is conferred on any authority, office or person such power shall be exercised reasonably, fairly, justly and for the advancement of the purposes of the enactment.*

*(2) The authority, office or person making any order or issuing any direction under the powers conferred by or under any enactment shall, so far as necessary or appropriate, give reasons for making the order or, as the case may be, for issuing the direction and shall provide a copy of the order or as the case may be, the direction to the person affected prejudicially."*

13. General Clauses Act has been called the legislative dictionary; the object is to promote brevity and uniformity in the language of the statutes. A number of expressions have been defined in the Acts, making them of general application, except where an intention to the contrary appears in the particular Act in which they may be used. The General Clauses Act, the Provincial Acts and their definitions and rules of construction automatically apply to all statutes, unless contrary be expressed or the context otherwise requires and must, therefore, be always borne in mind in the construction of statutes. In other words, the rules enacted in these Acts have a binding effect<sup>9</sup>. Section 24A accords legislative recognition to the well-known rule that all persons exercising State power have to act fairly, justly and honestly as held in Bahadur's case<sup>10</sup>. It has also been enunciated in Airport Support

<sup>9</sup> "Access to Justice In Pakistan", Justice Fazal Karim, 2<sup>nd</sup> edition, page 75

<sup>10</sup> Bahadur and another v. The State and another (PLD 1985 SC 62)

*Services’ case<sup>11</sup>, “that the rule recognised by section 24A is founded on the terms that public functionaries, deriving authority from or under law, are obligated to act justly, fairly, equitably, reasonably, without any element of discrimination and squarely within the parameters of law, as applicable in a given situation. Deviation, if of substance, can be corrected through appropriate orders under Article 199 of the Constitution.”*

14. Section 24-A was also noticed in the Zain Yar Khan’s Case<sup>12</sup> where the departmental appellate authority remanded the case but gave no reasons to support it. It was held:

*"There can be no gainsaying the fact that quasi-judicial orders should, in principle, carry due reasons. Indeed, as has lately been recognised, in virtue of the newly added section 24-A in the General Clauses Act, 1897, even an administrative authority, officer or person, making an order or issuing a direction under the powers conferred by or under any enactment, is now obligated, so far as necessary or appropriate, to give reasons for making the order or, as the case may be, for issuing the direction. In eventualities where due reasons are missing from such an order, an affectee stands armed with a right to require the authority, officer or person concerned, to furnish due reasons and an obligation attaches in response to furnish such to the aggrieved party. In departmental appeals, equally covered by Section 24-A *ibid*, but belonging to a higher genus, as the same attract quasi-judicial functions, necessary treatment of reasons therein, cannot but be a sine qua non for orders issuing therefrom. Even so, the fora, in which such orders are questioned, in the instant case the Service Tribunal and ultimately this Court, have a discretion either to simply set aside the departmental appellate orders for want of necessary reasons or, where the justice of case so demands, to discover the reasons, if discernible from*

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<sup>11</sup> Messrs Airport Support Services v. The Airport Manager, Quaid-e-Azam International Airport, Karachi and others (1998 SCMR 2268)

<sup>12</sup> Zain Yar Khan v. Chief Engineer C.R.B.C. WAPDA, D.I. Khan and another (1998 PLC (C.S.) 1484)

*the record, to uphold the finding, if the finding appears to be otherwise just convenient and purposeful."*

**[Emphasis Supplied]**

15. In the presence of a statutory provision like 24A of General Clauses Act, 1897, it is hard to see how our Courts can shy away from enforcing this duty to give reasons where authorities are acting in an administrative or quasi-judicial capacity. The mandatory requirements to give reasons must be applied with complete vigor, particularly in financial matters. This Court is mindful of the fact and does not expect the revenue officers to demonstrate as if they are trained legal minds and must know the jurisprudence to entirety, however, the least which is expected from them is that their orders must be well founded and rooted in reasons on the basis of plain meanings and contours of a statutory provisions, which they tend to invoke.

16. In *Dada Amir Haider's* case<sup>13</sup>, no reasons were given to refuse to issue a passport and it was held: "*Such an order is not a proper order as without disclosing the reasons why the discretion had been exercised against the respondent it is not possible to say whether the discretion exercised has been exercised properly or arbitrarily*". This view was also followed in Khalid Iqbal's case<sup>14</sup>:

*"One of the purposes for creating the obligation for a Court to give reasons is that a superior court exercising appellate or supervisory jurisdiction is able to appreciate the arguments backed by evidence that prevailed with the Court. Devoid of reasoning the Impugned Order falls shorts of the requirement to give reasons prescribed under Section 24A of the General Clauses Act."*

17. As explained, section 24A of the General Clauses Act, 1897, gives legislative recognition to the view that the duty to give reasons is part of the duty to uphold the Rule of Law in the sense indicated above, by providing that the statutory decision-maker shall "so far as necessary or appropriate, give reasons for making the order or, as the case may be, for issuing

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<sup>13</sup> *Government of Pakistan and another v. Dada Amir Haider Khan* (PLD 1987 SC 504)

<sup>14</sup> *Khalid Iqbal and others v. Shahid Iqbal and others* [2021 CLC 1880 (Islamabad)]

*directions...*"; it also gives effect to the principles of fairness<sup>15</sup>. *Ch. Zahur Illahi v. Secretary to Government of Pakistan Ministry of Home and Kashmir Affairs, Rawalpindi* (PLD 1975 Lahore 499), *S.S. Miranda Ltd. v. The Chief Commissioner, Karachi and another* (PLD 1959 SC 134) and *Dada Amir Haider* supra are examples of cases in which the decision-making power was held subject to an implied duty to give reasons.

18. The requirement to give reasons for a decision has been expanded by the increasing scope of judicial review of administrative decisions. What started as a mere exception (that of providing reasons for a decision) has now replaced the established proposition which stated that reasons need not be afforded for administrative decisions. This development has been brought about through various judicial pronouncements in India and other foreign jurisdictions. A right to reasoned decision has become, over time, to be an indispensable part of a system based on judicial review and is considered to be an integral part of fairness and justice now. It is to be noted that the requirement to give reasons has advantages and the necessary disadvantages associated with it. However, these advantages clearly outweigh the disadvantages of such a requirement, and as such the requirement is deemed to be an essential part of any system of law.

19. As was said in the English case of *R v Secretary of State for the Home Department, ex parte Fayed* [(1997) 1All ER 228, 230], "*Normally any decision taken by an officer under discretion conferred on him by Parliament (by or under a statute) which affects a member of the public, is required to be exercised in a manner which is fair, or as used to be said, in accordance with the rules of natural justice*". *Ex Parte Fayed* and *Attorney-General v. Ryan* [(1980) AC 718 PC] were cases in which applications for naturalisation as citizens were made but were tersely refused; no opportunity of hearing was given and no reasons for refusal were given. In both cases, the relevant statute provided that the decision maker "*shall not be required to assign any reason*" for the grant or refusal of the application and the decision on the application "*shall not be subject to appeal or review in any court*." It was held, among other things, that these provisions did not prevent

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<sup>15</sup> *Airport Support Services supra*

the Court to exercise its power of judicial review on the usual traditional grounds; the fact that the decision is not subject to appeal or review does not affect the obligation of the decision maker to be fair.

**20.** The English law does not recognize a general duty to give reasons for an administrative decision<sup>16</sup>. Nevertheless, it was equally beyond doubt that such a duty "may in appropriate circumstances be implied" [*Lord Mustill in Doody*, or as was said in *Fayed [(1997) 1 All ER 228, 241]*: "it may be a case which is crying for reasons". An analysis of the factors which will often be material to such an implication is to be found in *R v Civil Service Appeal Board, ex parte Cunningham* [1991] 4 All ER 310 (CA), where *Lord Donaldson MR* said that "*the principles of public law will require that those affected by decisions are given the reasons for those decisions in some cases, but not in others.*".

Ultimately, the simple question for the Court to ask: "*is a refusal to give reasons fair?*" This is the question *Lord Mustill* asked in *Doody*. Natural justice demands that (i) the applicant be informed of the nature of the case against him; and (ii) he be given a reasonable opportunity to be heard. And, as has been said: "*if opportunity to be heard is to have any value in practice, the decision maker must assign or identify the reasons for any adverse decision*"<sup>17</sup>. Thus, the right of hearing and the duty to give reasons are related, one with the other, and failure to give reasons is, where there was duty to give reasons, treated as a breach of natural justice.

**21.** As has been noted above, under English Law, there is no general duty to give reasons, however, it can be seen that the position has been evolving to cast a more expansive duty on decision makers to accord reasons for their decisions. Yet it cannot be said that there is a duty in all cases to do so. Of course, the position under English Law is distinguishable from our law because in Pakistan as by virtue of Section 24A, this duty has been accorded statutory recognition and thus would necessarily make it of a wider import than under English Law.

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<sup>16</sup> [*Doody (1993) 3 All ER 92, 110; and Fayed (1997) 1 All ER 228, 241.*]

<sup>17</sup> (*Lord Woolf, J. in R v Secretary of State for the Home Department, ex parte Fayed* [1997] 1 All ER 228 (CA), 248)

22. In India, there is no specific statute governing such administrative decisions, the general rule is that a purely administrative authority has no requirement to state reasons for its actions or the determination it has reached. However, to establish the balance between claims of individual justice and administrative flexibility, the courts in India have grafted exceptions to this rule, observing that an administrative authority shall record and furnish reasons for its decisions; **one**, where the body is quasi-judicial; **two**, where the decision would affect the civil rights of the individual; **three**, by bringing such decisions within the purview of judicial review and lastly, **four**, by incorporating the requirement of reasons to be an integral part of principles of natural justice. Thus, in India, an administrative body is required to give reasons for its decision based on the broad heads of grounds namely, statutory and constitutional perspective and vision of reasoned decision as a facet of natural justice.

23. It is inferred that even though the right of reasoned order is not formally recognized as one of the principles of natural justice, it is one in spirit and practice, continually gaining prominence as a tenet of natural justice. It can thus be said: “*Reason is the heartbeat of every conclusion and without the same, it becomes lifeless*<sup>18</sup>.”

24. As regards the grievance of the Petitioner that they have not even been heard before passing the Impugned Order, such course of action is fatal to the vires of the Impugned Order. The days when it used to be said that a person seeking even a privilege was not entitled to be heard are long gone. It is hard to see how the High Courts can fulfil their judicial review responsibility under Article 199 of the Constitution, which is a responsibility to see that public authorities keep within the limits of their authority and act lawfully, unless the decisions impugned before the High Court(s) contain the reasons for them. As was said by the US. Supreme Court<sup>19</sup>: “*the orderly functioning of the process of review requires that the grounds upon which administrative agency acted be clearly disclosed and adequately sustained....*”

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<sup>18</sup> *Raj Kishore Jha v. State of Bihar*, **JT (2003) Supp 2 SC 354**; *State of Orissa v. Dhaniram Luhar*, *Jt (2004) 2 SC 172*; [*AIR 2004 SC 1794*]

<sup>19</sup> *Securities and Exchange Commission v. Chenery* (318 US 80)

25. In the matters pertaining to the rights of the citizens/persons, particularly, where it is complained that rights guaranteed under Articles 4 and 10A of the Constitution have been breached, the effective supervision by the Courts comes in and such supervision for guarding the alleged infringed rights requires the rationale for the duty to give reasons. Wouldn't a duty arise in *any* case where the underlying decision is subject to judicial review? Courts may run into some difficulties when there is an attempt to justify a reason-giving requirement on this basis. Some limitations must be devised. Supply of reasons and openness as a rationale for the present case is coherent with effective supervision as a general rationale for a duty to give reasons. Separation of powers, Rule of Law and good administration concerns can provide justification for a reason-giving requirement even in situations where the relevant statutory and regulatory provisions make no such imposition on administrative decision-makers. Article 4 of the Constitution is the bedrock of the Rule of Law and an antithesis to the rule of men in our country; it is a restraint on the executive and judicial organs of the State to abide by the rule of law. Article 4 of the Constitution ordains that it is an inalienable right of every citizen, wherever he may be and any person whenever he is in Pakistan, to have and enjoy the protection of law and to be treated in accordance with law.

26. The upshot of the above is that the Impugned Order being devoid of any reasons, having been issued without an opportunity of hearing, cannot withstand any test of due process and administration of justice, therefore, the same is liable to be set aside.

27. Since in the opinion of this Court, the answer of the first and second questions has been determined in favour of the petitioner and the Impugned Order has been set aside, therefore, the third question, as framed by this Court becomes irrelevant and will be decided in a more relevant case where its resolution is directly required. In the words of Chief Justice John Roberts



of U.S. Supreme Court: "*If it is not necessary to decide more to dispose of a case, then it is necessary not to decide more*<sup>20</sup>."

28. For what has been discussed above, this constitutional petition is allowed and the Impugned Order dated 09.02.2023 is set aside with the result that the Show Cause Notices issued on the basis of the Impugned Order are declared bad in law and of no legal effect.

(Khalid Ishaq)  
Judge

**APPROVED FOR REPORTING.**

(Khalid Ishaq)  
Judge

*Arwaiz!*

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<sup>20</sup> *Fozia Mazhar v. Additional District Judge, Jhang and others* (PLD 2024 Supreme Court 771); *Dobbs v. Jackson Women's Health Org.* (597 U.S. 215 (2022)) *Meera Shafi v. Office of the Governor Punjab & others* (2019 LHC 3402) / (PLD 2020 Lahore 54)